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Pitch Guide



MISSISSIPPI STATE
UNIVERSITY™

Rev. 4.0

What is this?

- This is a **guide for Stage 2 teams** in the VentureCatalyst program
- The Entrepreneurship Center Advisory Board (ECAB) will be reviewing your pitch.
- **DO** feel free to use anything from this document
- **DON'T** just copy and paste slides.
- **DO** make sure you cover **all** points.
- **DON'T read** your slides. Create a story.



Your pitch should resolve for investors:

1. If we have a home run *together*, **how much money** are we talking about? (\$1M, \$10M, \$10B?)
2. Do I **believe** they can execute?
3. How will an exit event happen so I can get my appreciated **money out**?



Contents and Order of a Great Pitch

1. Problem
2. Revenue we can get with our solution at what gross margin?
 - a. This is to tell the investor he/she should listen and size of opportunity
3. Our Solution To The Problem Above – Tie them tightly together
4. How Your Solution Works – Patented, patentable?
 - a. You will have to disclose the secret sauce
5. Target Customer & Feedback Results
6. Market Size Justification
7. Sales Strategy
8. Competition – specifically how we are better
9. Revenue Model
10. Our Team – background that is pertinent to this market if applicable
11. Status and Milestones
12. Exit strategy
13. Ask With terms (board seat, preferential treatment in op agreement, ...)



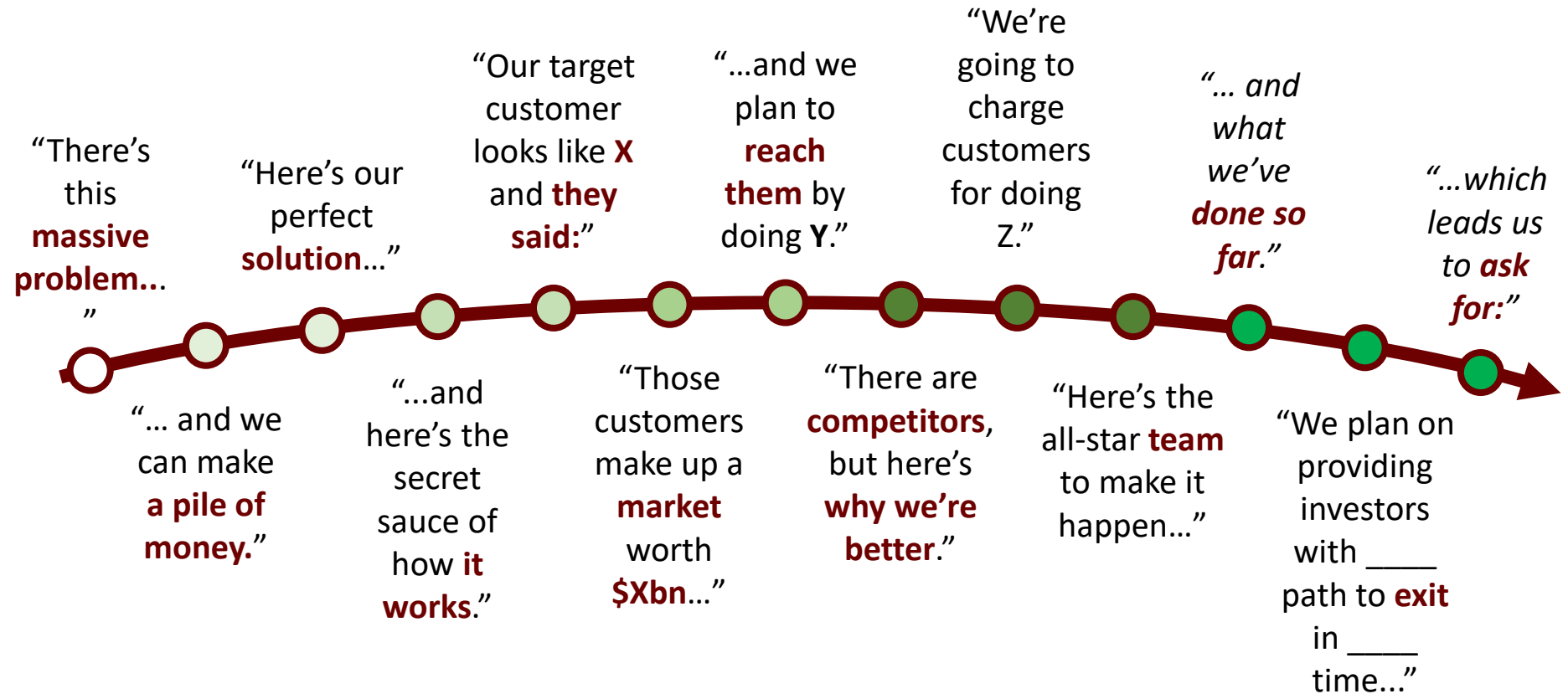
Within the first **90 seconds** you must:

- Plant an interesting **hook**. ([How?](#)) ([Why?](#))
- Tell them the **revenue** and gross **margin potential**
- Tell them exactly **what you're selling**.
- **Who will pay you** money for it.
- ...and **why** those people care.

^ Seriously, this is really, really important!

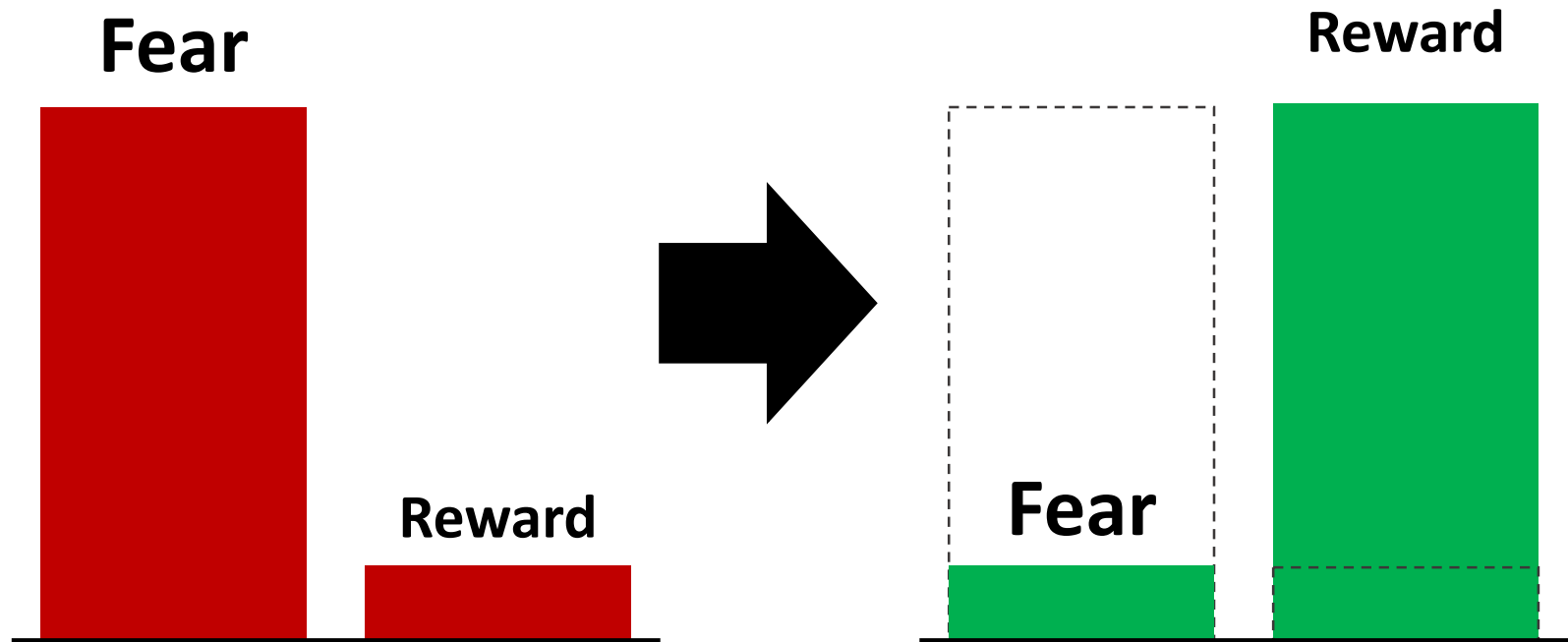


Your pitch should flow



Before and After a Good Pitch

- Your job is to **reduce investor skepticism**, and **show investor reward**.



Slide Tips

- Keep words on each slide to a minimum
 - **6x8 rule** – 6 bullets, eight words **or** 8 bullets, six words
- Pictures & diagrams say more than words
 - *Remember, you're describing a **story to create wealth***
- Use **slide titles to capture the main point** of the slide.
- Less is usually more with slides
- No reference slide – use footnotes



Presentation Tips

- Wear business ***natural***
 - If suits make you up-tight, don't wear a suit!
- Rehearse presentation length to 10 minutes max
- **Don't rush to answer** questions. Listen.
 - It's okay to say, "I'm not sure, but I would love to follow-up."
- Practice your pitch. **Really.**
 - Do this in front of a mirror or camera and watch



ECAB Specifics

- Be prepared to pitch in any order
- Total time pitch and Q&A allotment is **15 min**
 - Maximum pitch time is **10 min**; remainder is Q&A
- Bring your presentation on USB flash drive
 - We have internet access and sound, but **don't rely on it!**
- You can ask the ECAB for advice, but be **specific** in your request.
- Bring a notepad or recorder to **capture feedback**.



We **highly** recommend watching:

- <https://www.youtube.com/watch?v=677ZtSMr4-4>
- <https://www.youtube.com/watch?v=fcjmVj5fM5k>
- <https://www.youtube.com/watch?v=CUP2o-8sXrQ>
- [https://www.ted.com/talks/david s rose on pitching to vcs#t-863015](https://www.ted.com/talks/david_s_rose_on_pitching_to_vcs#t-863015)



Comments from the Angels

- “Students want to talk their solution up before telling investors why they should care about this market space, talking about *how* they solved the problem before mentioning how much money can flow and how much they can take – MONEY GETS INVESTORS ATTENTION!”



Getting Help

- Practice Pitches
 - The MSU eClub holds practice pitch sessions every **Thursday afternoon from 6:30-7:30pm**
- By Appointment
 - Contact the E-Center at info@ecenter.msstate.edu or **(662) 325-3521**.
- Walk-in Help
 - Our office is in **McCool Hall, Suite 101**



Intentionally left blank.

NewCo, LLC

Intriguing one sentence about NewCo.

A red starburst or explosion-like graphic with multiple sharp points, containing the text 'Very Important!'.

**Very
Important!**

Presenter, Title

Date of Presentation

Problem / Opportunity

- Set the big picture **context**.
- What are you working to **solve**?
- Where is the **want** in the market?
 - *Think of the difference between pain pills vs. vitamins. Vitamins are nice for your health, but you **need** pain pills.*
- This should be a fact that would surprise or shock the average person.

Massive Opportunity

- This problem is worth \$\$\$M of that revenue
- We predict our company to keep XX% of that revenue

Our Solution

- Talk about your **product** or **service**
- This should be **closely connected** to the problem
- What does it **do** for the customer?

How It Works

- You must **disclose the secret sauce** here.
- You get one slide to talk technical details!
- Make to convey the **customer experience**.
- No acronyms, lingo, buzzwords.
- The audience should think, “Oh! I get it!”

Target Customer

- Who is the **human being** that will benefit from your product?
 - Describe them: demographics, psychographics, geographics
- Who else is involved, other than the user?
 - (e.g. Google: Customers are advertisers, but it requires an active user base. Users don't always pay.)
 - **Payer** – who writes the check?
 - **Decision maker** – who decides what to buy?
 - **Saboteur** – who has a reason to work *against* you?
 - Share feedback from talking with customers.
- **What'd you learn** that changed your business model?

Market Size

Beware of the 1%
of China Fallacy!
([read here](#))

What industry do you serve?

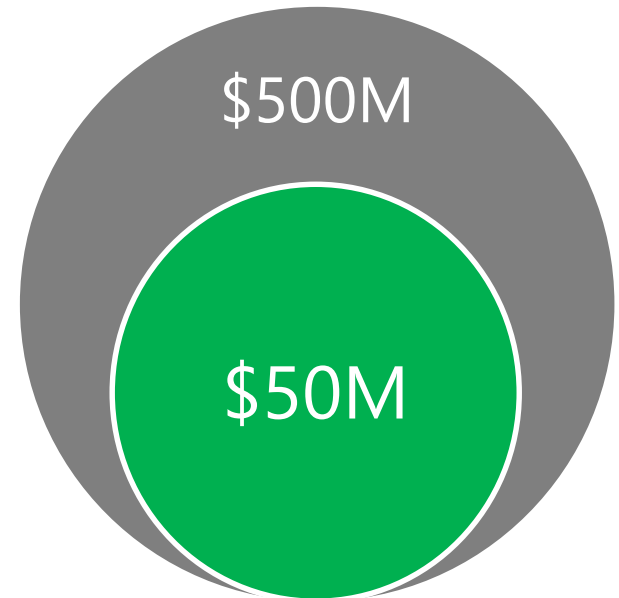
- Growing/Shrinking? %-change?
- Notable Barriers to Entry?
- Other notable trends?

Total Market Size: **\$500M+**

- **Top Down Approach:** Determine the total market, then estimate your share of that market.
- **BottomUp Approach:** Evaluate where products can be sold, the sales of comparable products, and the slice of current sales you can carve out
- Top down is usually optimistic and Bottom Up is usually pessimistic. Both are wrong.

Target Market: **\$50M**

- You can't afford to get the whole market immediately.
- Out of that big market, who are you going after *first* and *easiest*. **How much are they worth?**
- How'd you estimate this?



Sales & Marketing Strategy

- **Just because you built it does not mean 'they' will come...**
- Think about you have the box in your hand ready to sell on Monday morning. Who's door do you knock on? How?
- How do/will customers **know about you?**
- How do you plan to **reach them?**
 - And if it's brand new tech, educate them?
 - Distribution & channel strategy
 - i.e. direct web sales, sell through dealers, distributors...
- Strategic relationships? Current or potential customers?
- Social media and word-of-mouth alone is **not a strategy.**

Competitive Advantage

- Who is (or could be) working on the same thing?
- **Do not say 'nobody'**. There is always competition.
- Think about **functional** competition
 - Pen and pencil both accomplish same thing
- Talk about how you're **better** and can **win**.

Financial Model

- How does the business make money?
 - Direct sales, user access, transactional fees?

Unit Economics	
Unit Revenue	\$100.00
Costs	
Materials	(\$25.00)
Labor (1/2hr * \$9/hr)	(\$4.50)
Commission/Discounts (2.5%)	(\$2.50)
Unit Gross Profit	\$68.00
<i>Gross Margin</i>	68%

Our Team

- Who's working to build this start-up?
 - Tell how they **contribute to success**, and how they fit.
- List supporting advisors, mentors, or board members.
- This slide is one of the **most important** – use it to convince that you have the “dream team” assembled.

Status and Milestones

Progress So Far

- List everything important you've done up to this point.

What's Next

- List milestones you **plan to do** next.
- Explain how an investors contribution gets you over the grand canyon.

Our Ask (Startup Grant)

- We are asking for \$X,XXX for:
 - (List how you will spend it.)
 - ...
 - ...
- The Startup Grant program allows you to request **up to \$2,000.**

Our Ask (Raising Money)

- We are asking for \$XXX,XXX for YY%
 - (List high-level how you will spend it.)
 - ...
 - ...
- Other terms:
 - Board seat?
 - Preferential ownership?
 - Etc...

Summary

- Tell what you're doing **again**
- Sell on the market potential ( reward)
- Emphasize competitive advantages ( fear)
- Reiterate the team's abilities ( fear)
- Restate the ask
- **Leave this slide up during Q&A!**

Appendices

- If you have a **very** technical project or areas with lack of clarity, you can retain other slides that might be useful to reference during Q&A
- **Only** go to these **if asked** in Q&A.
- **Try to rework main slides** for better clarity if you find you need a lot of appendices...